

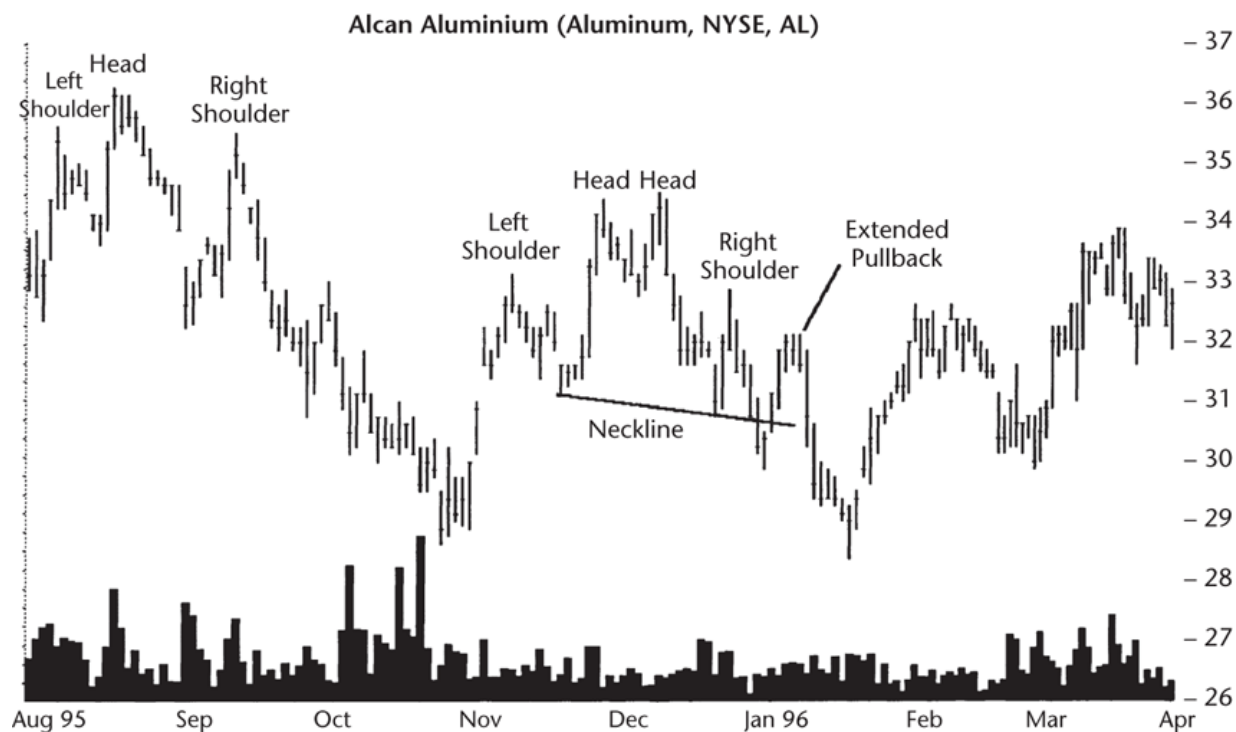


Figure 42.1 Complex head-and-shoulders top with dual heads. The stair-step pattern of a measured move up forms the left shoulder and head. The twin peaks take on the appearance of a horn top, and the resulting move down resembles another measured move, albeit stuttered. A simple head-and-shoulders appears in August.

After moving down a bit, the stock pushed upward and tagged the old high, then dropped. Another head appeared. Once price slipped from the head, it found traction at the first shoulder valley and rebounded. The right shoulder took shape. After declining through the neckline, formed by a line joining the two shoulder valleys, price quickly pulled back and moved higher.

The stock turned away at the 32 resistance level and continued down in a straight-line run to 28.38. Notice that the stock bottomed near the price where it began (the launch price near 29, in late October).

Computing the slope of a line using linear regression of volume over the pattern (outermost shoulder to shoulder) indicated volume receded.

Although it is difficult to tell from the figure, almost two out of every three (61%) complex head-and-shoulders tops show a receding volume trend.

Figure 42.2 shows a different type of complex head-and-shoulders top. Multiple shoulders with only one head is the more common of the two